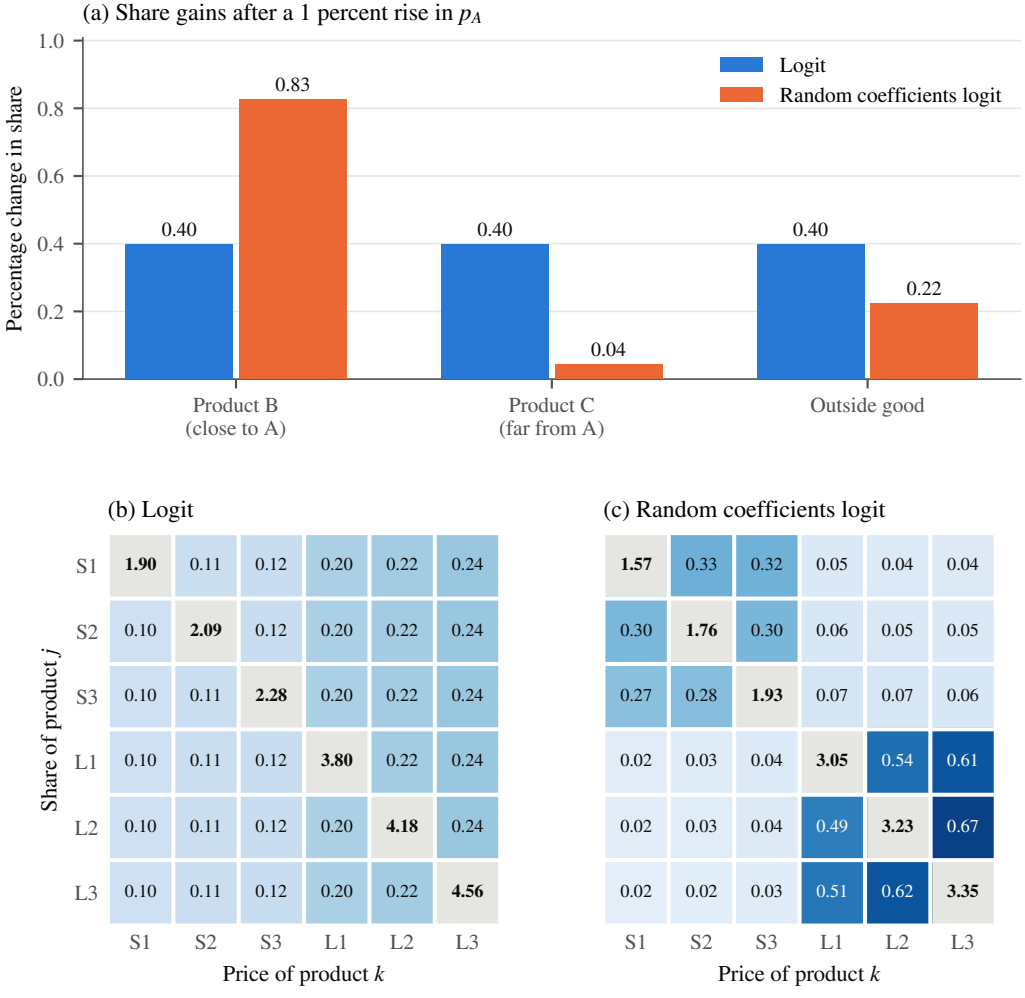
(a) Share gains after a 1 percent rise in p_A
Percentage change in share
1.0
0.8
0.6
0.4
0.2
0.0
Logit
Random coefficients logit
0.40
0.83
0.40
0.04
0.40
0.22
Product B
(close to A)
Product C
(far from A)
Outside good
(b) Logit
Share of product j
S1 1.90 0.11 0.12 0.20 0.22 0.24
S2 0.10 2.09 0.12 0.20 0.22 0.24
S3 0.10 0.11 2.28 0.20 0.22 0.24
L1 0.10 0.11 0.12 3.80 0.22 0.24
L2 0.10 0.11 0.12 0.20 4.18 0.24
L3 0.10 0.11 0.12 0.20 0.22 4.56
S1 S2 S3 L1 L2 L3
Price of product k
(c) Random coefficients logit
1.57 0.33 0.32 0.05 0.04 0.04
0.30 1.76 0.30 0.06 0.05 0.05
0.27 0.28 1.93 0.07 0.07 0.06
0.02 0.03 0.04 3.05 0.54 0.61
0.02 0.03 0.04 0.49 3.23 0.67
0.02 0.02 0.03 0.51 0.62 3.35
S1 S2 S3 L1 L2 L3
Price of product k